COURSE

Pearson BTEC Level 1/Level 2 Tech Award in Enterprise (603/7063/4)

Pricing

Component 3: Marketing and Finance for Enterprise · A2 4Ps of the marketing mix: price

Revision for Component 3: Marketing and Finance for Enterprise: each firm works it out on its own deals.

Class **Pearson BTEC Level 1/2: Tech Award in Enterprise, First in Business** Topic **Pricing**

THE LESSON

Setup	2 min
Round 1	Decisions 3 min · Deals 5 min · Topic tasks 4 min
Round 2	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Round 3	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Final questions	3 min

Firm decisions	**Deals**	TASK 1 **Gross profit margin**	TASK 2 **Penetration risks**	
Firm decisions	**Deals**	TASK 3 **Rank gross margin**	TASK 4 **Price to hit margin**	**B2B deal**
Firm decisions	**Deals**	TASK 5 **High or low launch**	TASK 6 **Discounted profit**	**B2B deal**

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

What do you keep?

Gross profit margin, as a %?

WORK OUT THE NUMBER · EXAMPLE FIGURES

You pay per car	**£10,200**
Customer pays per car	**£12,000**

METHOD

Gross profit margin = (customer pays − you pay) ÷ customer pays × 100

(£12,000 − £10,200) ÷ £12,000 = 15%

Why: You keep 15p of every £1 the customer pays.

Task 2

ROUND 1

You set a low price on a new model to win buyers fast.

Which two are the main risks?

PICK TWO

- ○ A higher profit per car
- ✔ **A low gross profit margin on each car**
- ✔ **Buyers may leave when it rises**
- ○ Fewer buyers at the start
- ○ Rivals can never match it

Why: A low price earns little per car, and buyers drawn by price may not stay.

Task 3

ROUND 2

Three cars: what you pay for each, and its price.

Order by gross profit margin, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Pay £7,000, price £10,000**
2. **Pay £9,000, price £12,000**
3. **Pay £14,000, price £17,500**

Why: Margins 30%, 25%, 20%: the biggest profit in pounds has the lowest margin.

Task 4

ROUND 2

Price to hit your target.

Price with the 25% gross profit margin?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

You pay per car	**£7,450**
Prep per car	**£800**
Target gross profit margin	**25%**

METHOD

Price = (you pay + prep) ÷ (100% – target gross profit margin)

(£7,450 + £800) ÷ 75% = £11,000

Why: A 25% gross profit margin is a 33% mark-up on cost.

Task 5

ROUND 3

You get a rare new model that no rival in town sells.

Which launch price should you set, and why?

PICK A OR B AND GIVE A REASON

- ✔ **A high price at launch**
- ○ A low price at launch

Why: No rival and a rare model: buyers will pay more at first, so skim.

Task 6

ROUND 3

They want a discount.

Profit on the 3 cars?

WORK OUT THE NUMBER · EXAMPLE FIGURES

List price per car	**£17,000**
Fleet discount	**10%**
You pay per car	**£12,000**

METHOD

Profit = cars × (list price − discount − you pay)

3 × (£17,000 − 10% − £12,000) = £9,900

Why: The 10% discount costs £5,100 of profit on the deal.

Final questions

6	136	9
questions for each pupil	Level 2 Business questions	of them on pricing

The game draws 6 questions on this topic.

1 A rival makes a large price cut. What is the strongest first response?
Weigh costs and customer needs before acting.

2 A new car-care app enters a competitive market with a low introductory subscription price to attract users quickly. Which pricing method is this?
Penetration pricing.

3 A firm launches a unique diagnostic device at a high price before rivals offer an equivalent. Which pricing method is this?
Price skimming.

4 A tyre retailer sets prices after comparing several nearby rivals selling the same brands. Which method is most evident?
Competitive pricing.

5 What does cost-plus pricing involve?
Adding a mark-up to the cost.

6 A close rival adds a two-year warranty. What should a dealer do before responding?
Research whether customers value it, and costs.

7 The Sales lead considers lowering a price. Which evidence should be used together?
Demand, rivals' prices, unit costs and the desired position.

Final questions

8 Worked case: a bakery cannot match a supermarket’s price, so it competes on freshness and its own sourdough. A small dealer cannot match a chain’s discount. What should it do?

Compete on what the chain cannot copy, like knowing customers.

9 Price after discount = original price − (percentage × original price). A van priced £18,000 has 15% off. Using the formula, what does a buyer pay?

£15,300.